EXECUTIVE SUMMARY

1. Introduction

The LGU was founded in the 1580s by Juan de Salcedo. He found in Camalaniugan, a flourishing community of farmers and fishermen led by Guiab. At that time, Camalaniugan encompassed a large area that included what we know now as the towns of Buguey, Sta. Teresita, Gonzaga and Sta. Ana. Camalaniugan was one of the first towns in Cagayan to be organized. At present it is composed of twenty eight (28) barangays and ranked as 4th class municipality.

With its existing development trends, strategic locations and resources, the Municipality is envisioned to be the center of Agro-Commercial progress in the province and region as well, where dignified Camalaniugeños feel the enjoyment of improved quality life in a balanced environment thru the principle of good governance.

Records show that through its fast and ever changing economic and political development, the municipality was awarded by institutions, both private and public, as follows:

a. The Seal of Good House Keeping Bronze Category
b. The One of the Best LGU Anti Red Tape Act Implementer
c. The Seal of Good House Keeping Silver Category
d. The Seal of Good Financial House Keeping; and
e. The Seal of Good Local Governance- CY 2016, CY 2017, CY 2019
f. 2017 Top 5 Most Competitive 4th to 6th Class LGU (CMCI)
g. 2018 Top 14 Most Competitive 4th to 6th Class LGU (CMCI)
h. Consistent Seal of Child Friendly LGU
i. Consistent Project PREPARE AWARDEE (Provincial Level)- CY 2016-2018
j. LGU-MHO Purple Ribbon Award- CY 2018 and CY 2019
k. Local Health System Award (Regional Awardee)
l. National Voluntary Blood Services or SANDUGO- (Regional Awardee)
m. Outstanding Performance on Revenue Generation & Resource Mobilization- CY 2018, Having surpassed the target on Business Tax, Fees and Charges, Receipts from Economic Enterprises

The audit covered the accounts and operations of the Municipality of Camalaniugan, Cagayan for the year 2020 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Camalaniugan, Cagayan for the year ended December 31, 2020 with comparative figures for CY 2019 are as follows:

Particulars	2020	2019	Increase (Decrease)	
			Amount	Percentage
Financial Position				
Assets	271,803,846.09	134,058,222.77	137,745,623.32	102.75%
Liabilities	63,428,677.66	57,835,642.33	5,593,035.33	9.67%
Govt. Equity	208,375,168.43	76,222,580.44	132,152,587.99	173.38%
Financial Performance				
Income	129,755,046.99	110,294,955.76	19,460,091.23	17.64%
Expense	106,548,599.27	96,756,635.76	9,791,963.51	10.12%
Appropriations, Allotments and Obligation				
Appropriations	160,945,645.71	116,749,927.97	44,195,717.74	37.86%
Obligations	148,499,668.39	109,541,947.28	38,957,721.11	35.56%

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Camalaniugan, Cagayan as at December 31, 2020 due to the following:

1. One-time cleansing of Property, Plant and Equipment (PPE) account balances was not undertaken contrary to COA Circular 2020-006 dated January 31, 2020 due to incomplete information on the status of condition of these properties in the Report on Physical count of PPE as well as non-recording in the books of existing items, thus, the accuracy of the "PPE" account in the financial statements cannot be verified.

2. The "Road Network" account in the financial statements of the municipality amounting to P55,324,683.17 does not conform to the required 100% phased recognition of all local roads within its jurisdiction contrary to Item IX of COA Circular No. 2015-008 dated November 23, 2015

4. Summary of Significant Audit Observations and Recommendations

The following were the audit recommendations on the above-stated bases for qualified opinion:

1. We recommended that Management:

a) Create the Inventory Committee to conduct physical inventory of all PPEs of the Municipality, whether acquired through purchase or donation, including those constructed by administration and found at station;

b) Thru the Inventory Committee created, update the property records based on the results of physical inventory, and reconcile with accounting records;

c) Undertake all other procedures prescribed under COA Circular 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of PPE accounts in the financial statements; and

d) After the inventory taking, direct the Municipal Accountant to prepare the updated ledger cards for each item of the PPE pursuant to Section 269 of the GAM for LGUs.

2. We recommended that the Municipal Mayor direct the concerned Department Heads to undertake their responsibilities provided in COA Circular No. 2015-008 dated November 23, 2015 to restate the "Road Network" to its appropriate and fair balance.

The other significant audit observations and recommendations are as follows:

1. Donations from the National Food Authority (NFA) valued at P840,305.41 were not recorded in the books of accounts in contrary to Section 187 of the Government Accounting Manual for LGUs prescribed under COA Circular No. 2020-004 dated January 31, 2020, thus, affected the income, expense and assets accounts in the financial statements of the Municipality.

   We recommended that management:

   a) Direct all concerned departments who are receiving goods in-kind from National Government Agencies or from any source, to inform and coordinate with the General Services Office (GSO), for the receipt and inspection of such goods, before issuance to the concerned end users or recipients;

   b) Advice the GSO to prepare the reports as mandated under COA Circular No. 2014-002 dated April 15, 2014 to attain transparency in the receipt, distribution and issuance of all cash and in-kind donations and ensure that the donations have reached the intended recipients. The GSO shall furnish the accounting department the necessary records on the receipt and issuance for proper recording in the books of accounts; and

   c) Instruct the accounting office to make the necessary adjustment in order to recognize the unrecorded transactions pursuant to Sections 187 and 188 of the GAM for LGUs issued under COA Circular 2020-004 dated January 31, 2020.

2. Procurements of various supplies, drugs and medicines related to COVID 19 response amounting to P1,948,915.00 were recorded as outright expenses instead of the appropriate inventory accounts contrary to pertinent provisions of Government Accounting Manual for Local Government Units, hence, safeguards thereon were not adequately undertaken.

   We recommended, pursuant to Sections 182, 187 and 189 Volume 1 of the Government Accounting Manual for LGUs to set up the proper safeguards on various supplies, drugs and medicines that:

   a) The GSO to accept the deliveries from suppliers and issue Requisition and Issue Slip for its transfer to the end-user. He should also maintain stock cards for each inventory items and submit to the Municipal Accountant the required Report of Materials and Supplies Issued five days after the end of the month.

   b) The Municipal Accountant record all inventories as asset upon delivery and acceptance and maintain Supplies Ledger Card for each specific type of Inventories; and

   c) The Municipal Mayor require periodic physical inventory of supplies and materials. The physical count of unissued inventory items by type shall be conducted at least once a year and reported in the Report of the Physical Count of Inventories (RPCI).

3. Basic gender responsive facilities such as safe toilets for the protection of women and other marginal groups are not properly provided by the Municipality due to unrepaired dilapidated toilets in the municipal hall and nearby LGU buildings contrary to Section 20 (B.4) of the IRR of R.A. No. 9710 also known as the Magna Carta of Women, thereby, causing health and well-being hazards.

   We recommended that the Municipality utilize the appropriate funds for the immediate repair/restoration and upgrading of the comfort rooms to comply with the gender and development program, projects and activities as mentioned in Section 20 (B.4) of the IRR of R.A. No. 9710, thereby, safeguarding the health and wellness of women employees, clientele and other users.

5. Summary of Total Suspensions, Disallowances and Charges

The Municipality had zero (0) Suspensions, zero (0) Disallowances and zero (0) Charges as at December 31, 2020.

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the fifteen (15) audit recommendations of last year's report, thirteen (13) were fully implemented while two (2) were partially implemented as at year-end.